Himadri Speciality Chemical Ltd

Concall Tracker · Q2-2027 folder (covers up to Q2 FY27, call 22 Oct 2026) · NSE: HSCL · Builds on the Q1-2027 report · Not investment advice

1. Snapshot

What the business does: Himadri is India's biggest maker of coal tar pitch and carbon black. Coal tar pitch is the binder that aluminium smelters and graphite-electrode makers need; carbon black is the black powder in tyres, plastics, paints and cables. It makes money by refining cheap coal tar and pushing more of it into pricier speciality grades. It's also building a battery-materials arm (LFP cathode, which is the positive side of an EV battery, plus graphite and silicon-carbon anode, the negative side) and runs the revived Birla Tyres business, which it now plans to merge in.

Number	Value	Plain read
Market cap / P/E	₹28,688 cr / 34x	Down from about ₹39,800 cr and 50x at our last report. The market has cooled on the stock even though profits kept rising.
Q2 FY27 revenue (consolidated)	₹1,691 cr	Up 58% on ₹1,071 cr a year ago. Only 11% of that was more tonnes; the rest is higher raw-material prices passed on to customers.
Q2 FY27 EBITDA (operating profit before interest, tax, depreciation)	₹303 cr	Up 27%. Slower than sales, because price pass-through swells revenue without adding much profit.
Q2 FY27 net profit	₹231 cr	Up 31%. Half-year profit ₹460 cr, so the year is running ahead of FY26's ₹750 cr.
EBITDA per tonne	~₹21,000	The number management wants you to watch. Up from ~₹17,900 a year ago, down from ~₹22,800 last quarter.
ROCE / ROE (Screener)	22.5% / 18.1%	Healthy returns on the money in the business. Management cited a 30% half-year ROCE on its own maths.

2. Concall coverage

Quarter	Call date	Read?
Q4 FY25 → Q3 FY26 (4 calls; Q4 FY26 transcript was not on Screener)	Apr 2025 → Jan 2026	Carried forward from the Q1-2027 report
Q1 FY27 (prior boundary)	16 Jul 2026	Read for the Q1-2027 report
Q2 FY27	22 Oct 2026	Newly deep-read in full ★

Only the Q2 FY27 call was read in full this quarter. The backstory comes from the prior report. Screener lists 13 calls in all; the 2016-2017 ones sit before a long gap and don't bear on today's story.

2b. Latest concall highlights: Q2 FY27 (call 22 Oct 2026)

- **Sales jumped, profit grew slower.** Revenue up 58%, profit up 31%. Volume grew 11% to about 146,000 tonnes; the rest of the revenue jump is costlier coal tar passed through. Plain read: real growth, but not as big as the top line suggests.
- **Per-tonne profit slipped a bit from the June quarter.** ~₹21,000 against ~₹22,800. Management blamed sky-high container freight from the West Asia crisis, a price rise it couldn't pass on until the next month, and exports rising to 33% of sales from 26%. It now guides a ₹20,000-24,000 per tonne band.
- **Big target held.** "We remain confident" of ₹1,100 cr+ net profit by FY28. CNT (carbon nanotube) plant still Q4 FY27; first 2,000-tonne LFP line still Q3 FY27; 40,000-tonne LFP plant "next year".
- **Two dates moved.** Anthraquinone/carbazole: phase one was due this quarter, now both phases start together by March 2027 to avoid a three-month shutdown later. LFP: management now says it "will commence in FY29 only" for margin purposes.
- **Other news:** sand-mining unit got its environmental clearance (it had been a drag); Birla Tyres to be demerged into Himadri; a Dubai trading subsidiary set up; more money into Sicona (silicon anode partner). Tone: confident, a bit defensive on margins.

2c. Business mix & capacity

Domestic vs export: exports were 33% of sales in Q2 FY27, up from 26% a year ago. Plain read: two-thirds still sold in India, but the overseas share is growing fast through the Haldia and Mangalore terminals.
Capacity utilisation: carbon black ran at 88% in the quarter, with 88-95% guided. Plain read: the plants are nearly full, so further volume growth now leans on new lines (CNT, anthraquinone, LFP). Capex of ₹800-900 cr planned for FY27, funded from internal cash, says management.

2d. Since our last report (builds on Q1-2027, call 16 Jul 2026)

Prior verdicts: **Trigger YES, Consistency YES.**

Prior read	What we said then	What the new call shows	Movement
Trigger: mix shift + new capacity	Playing out, volume back	Volume +11%, per-tonne profit up ~17% on a year ago	Confirmed
Consistency	Delivered on what it controls; story-stacking risk	₹1,100 cr FY28 target held; two project dates shifted	Unchanged, with a dent
Mining paused	Slipped, awaiting clearance	Clearance received, operations start this quarter	Improving
LFP 2,000 t line (Q3 FY27)	On track	Still Q3 FY27; meaningful LFP earnings now FY29	On-track / later payoff
CNT 200 t (Q4 FY27)	Announced	Still Q4 FY27	On-track
Birla Tyres breakeven FY27	Early, loss-making	₹140 cr trading sales, about breakeven; merger proposed	On-track

Verdict change: both unchanged. The core engine kept working. The new thing is that the far-off bets drifted a few months right, which is worth watching but doesn't change the call yet.

3. Earning-trigger thesis ★

The engine is simple: buy coal tar, sell more of it as speciality product, and earn more per tonne each year. That took per-tonne profit from ~₹17,900 to ~₹21,000 in a year, and volume is growing again now the expanded plants are running. Next come new high-value lines (CNT, anthraquinone/carbazole, super speciality carbon black) and, much later, battery materials. The core is proven. The battery story is still samples and promises.

Trigger	What mgmt said	Evidence so far	Horizon	Strength	Change since last report
Mix shift to speciality	Per-tonne profit ₹20-25k band	~₹21,000 vs ~₹17,900 a year ago	Now	Strong	unchanged: dipped q-o-q on freight
Volume from new capacity	Run plants at 90%+	Volume +11%; carbon black 88%	Now	Strong	unchanged
New speciality lines	CNT Q4 FY27; anthraquinone by Mar 2027; SSCB Q4 FY28	Nothing in revenue yet; ENERGEX grade got cable/ battery approvals and orders	FY28	Moderate	↓ anthraquinone pushed a few months
Battery materials (LFP, anode, Si-C)	40k t LFP next year; Si-C capex coming	Anode samples well received; no orders; pricing "in line with China"	FY29+	Unproven	↓ payoff now FY29
Birla Tyres	Breakeven FY27, guidance kept	₹140 cr sales, ~₹1 cr EBITDA	FY27+	Weak/ early	unchanged; merger adds it to the books

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY24 → FY27	Double FY24 profit by FY27	Done in FY26, a year early	Delivered
FY26	Speciality carbon black 60k → 130k t; anode plant	Both commissioned on time	Delivered
Q1 FY27	Mining back once licensed	Clearance in Oct 2026	Delivered (late)
Q1 FY27	Anthraquinone/carbazole phase one this quarter	Merged with phase two, now by March 2027	Partly / delayed
Q1 FY27	LFP revenue from FY28	Line still Q3 FY27, but real margins now "FY29 only"	Slipping
Standing	₹1,100 cr+ profit by FY28	Reaffirmed; H1 FY27 ₹460 cr	Too-early, on track

Narrative drift: the core story hasn't moved in two years: value over volume, per-tonne profit up, plants full. What keeps growing is the list of new ventures; this call added silicon-carbon capex "soon", sodium-ion and solid-state work, a Dubai arm and a tyre merger. Management also nudged investors away from margin % toward per-tonne profit, which is fair for a pass-through business, but it's the kind of reframe to keep an eye on when the % dips. Tone was confident and a touch defensive on margins.

5. Bottom line: two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

Nothing moved this. Volume grew, per-tonne profit is up sharply on a year ago, and profit grew by almost a third. The sequential dip came from freight and timing, both things that should unwind. The battery bet is still a long way off and now later than it looked, so it shouldn't carry the valuation. The core does carry it.

Management consistent? → YES vs last quarter: unchanged

The two date shifts (anthraquinone, LFP payoff) are the first real dents, and they came with reasons, not silence. On what matters most, the profit target, the plant ramp-ups and the mining fix, they did what they said. Still YES, but with less margin for error than a quarter ago.

Sources: Himadri Speciality Chemical Q2 FY27 earnings-call transcript (22 Oct 2026) via Screener.in, the Q1-2027 concall-tracker report for earlier calls, and Screener financial tables. AI-generated summary of management commentary. Not investment advice. Do your own due diligence.